

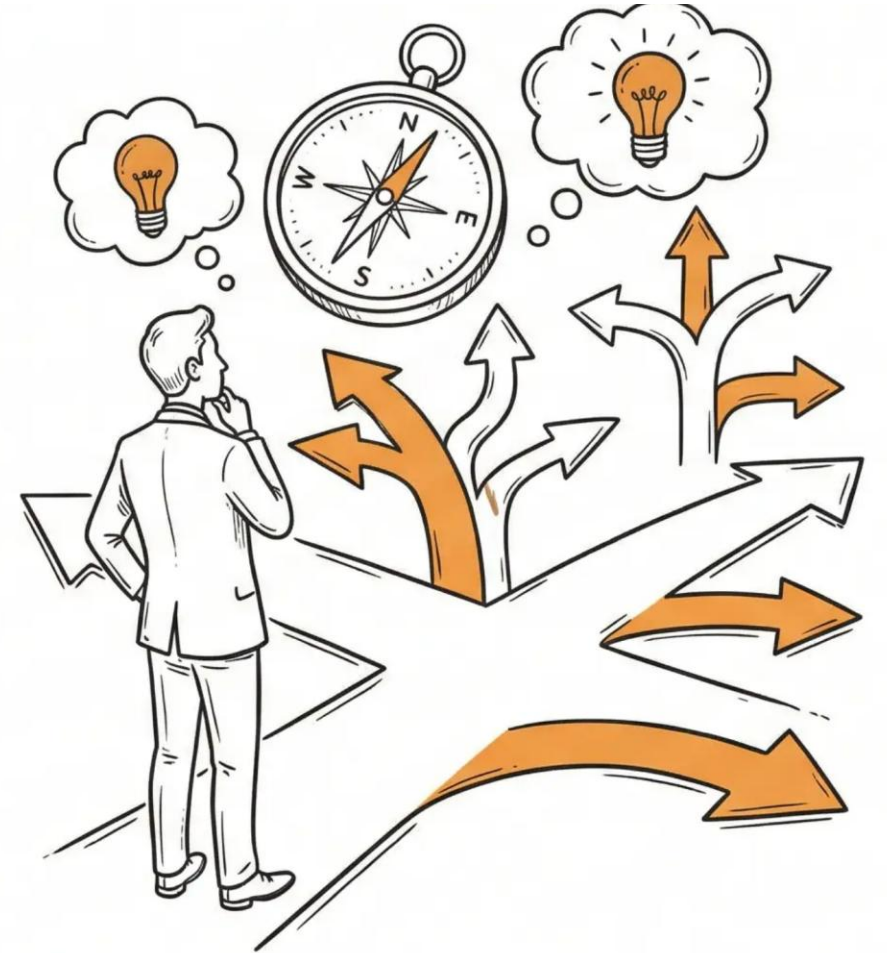
Decision Making

Principles of Management, 2nd Edition

Borges, Lee, Ramasamy, Piaralal, Ismail, Koon (2023)

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Introduction to Decision Making

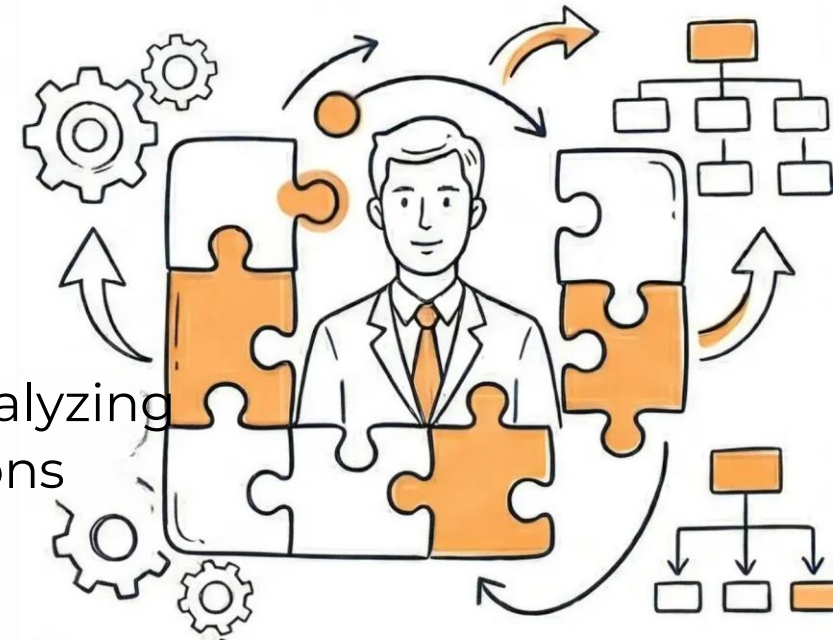


The Foundation of Effective Management

- Decision making serves as the cornerstone of all managerial functions
- A systematic process that goes beyond simple choice-making

Quality decisions drive productivity, innovation, and employee engagement

- Involves identifying problems, analyzing options, and implementing solutions
- Directly impacts organizational performance and long-term success
- Requires analytical and practical judgment
- Essential managerial competency



Definition and Nature of Decisions

Decision making is the systematic process of identifying problems, generating alternatives, evaluating options, and selecting the best course of action to achieve organizational goals.

Key Characteristics

- A cognitive activity involving analysis and judgment
- Foundation for all managerial functions
- Structured process, not random choice
- Combines logic, experience, and foresight
- Directly impacts organizational performance

Decision making serves as the cornerstone of effective management, influencing planning, organizing, leading, and controlling functions.



The Concept of Rationality

The Ideal Decision-Making Framework

- Logical, step-by-step approach to decision making
- Assumes complete information is available
- Seeks the optimal solution that maximizes benefits
- Based on objective criteria and systematic analysis
- Follows a linear process from problem to solution

Rational Model Characteristics:

- | | |
|----------------------------|------------------------|
| ✓ Complete information | ✓ Objective evaluation |
| ✓ Clear problem definition | ✓ Optimal outcomes |



Bounded Rationality and Satisficing

Herbert Simon's Theory of Practical Decision Making

What is Bounded Rationality?

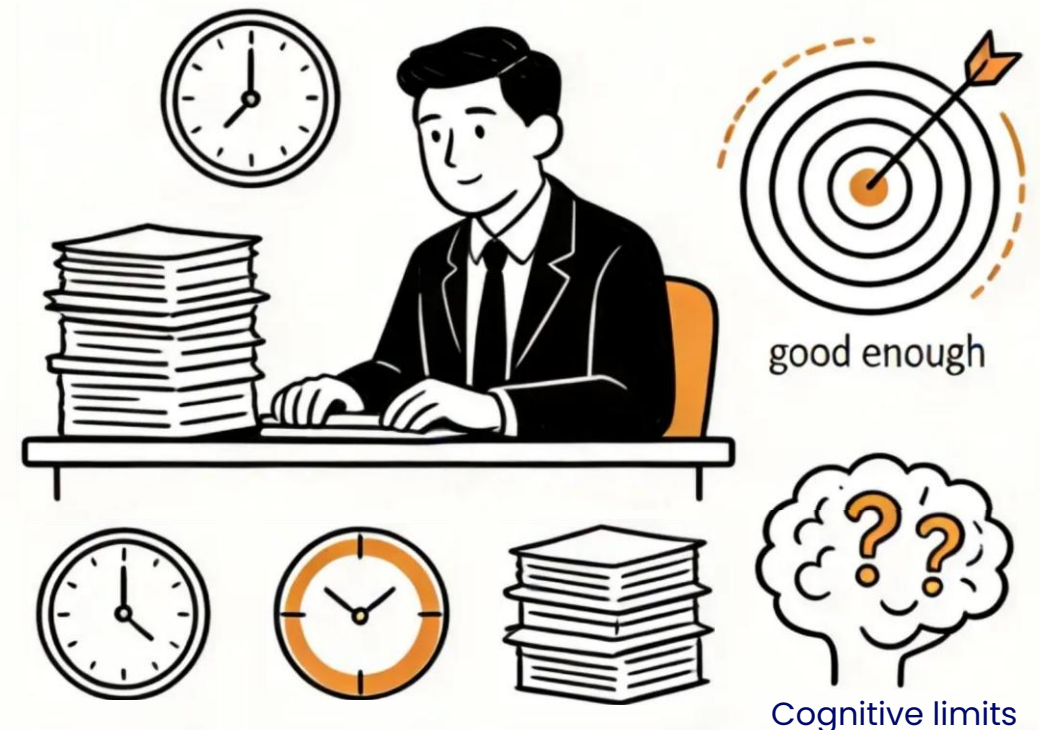
- Managers have limited cognitive capacity to process all information
- Time constraints prevent exhaustive analysis of every option
- Real-world complexity makes perfect rationality impossible

The Satisficing Approach:

- Seeking 'good enough' solutions rather than optimal ones
- Setting minimum acceptable criteria for decisions
- Making timely decisions with available information

Why It Works:

- Reduces decision fatigue and analysis paralysis
- Enables faster responses in dynamic environments
- Acknowledges human limitations while maintaining effectiveness



The Classical Model

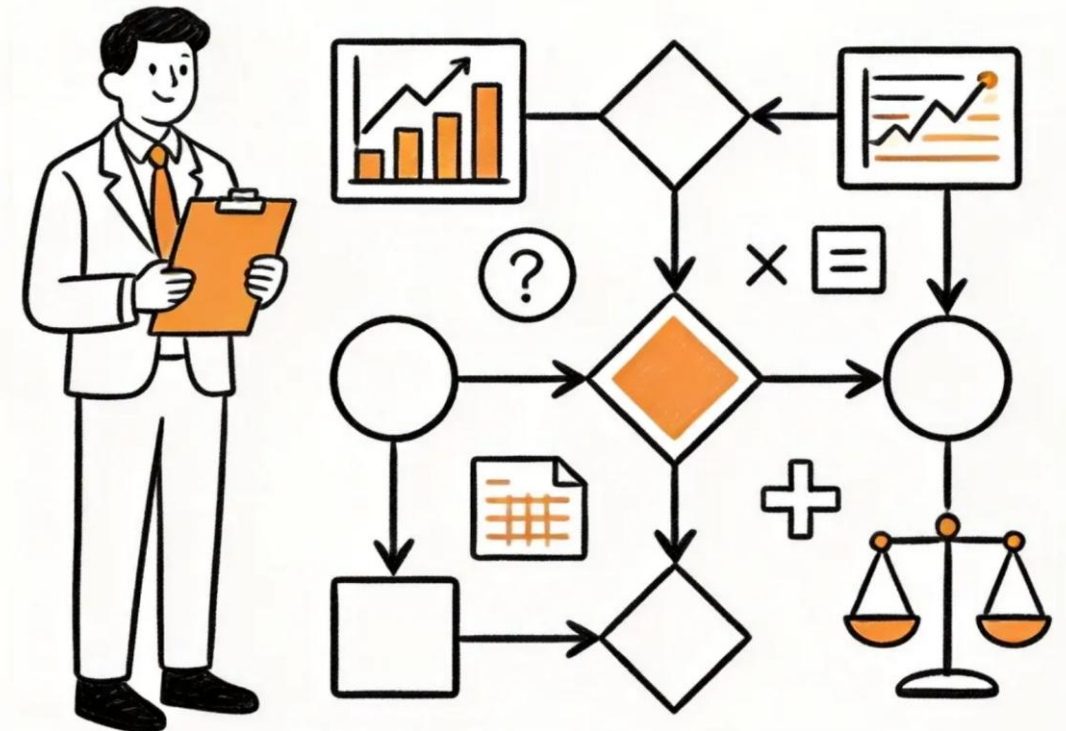
Rational Decision Making in Stable Environments

Key Assumptions

- Managers are logical and objective
- Complete information is available
- All alternatives can be identified
- Optimal solutions can be determined

Application Context

- Best suited for routine operational decisions
- Effective in stable, predictable environments
- Works well with clearly defined problems



The Administrative Model

Real-World Decision Making Under Constraints

Bounded Rationality

Managers have limited cognitive capacity, time, and information

Decisions made within realistic constraints

Satisficing Approach

Seeking 'good enough' solutions rather than optimal ones

Balances quality with practicality

Organizational Routines

Influenced by established policies and procedures

Cultural norms shape decision patterns

Political Dynamics

Power struggles and coalition-building affect choices

Negotiation and stakeholder management



Understanding Incrementalism

Small Steps, Big Impact



Reduce Risk - Lower stakes with reversible changes

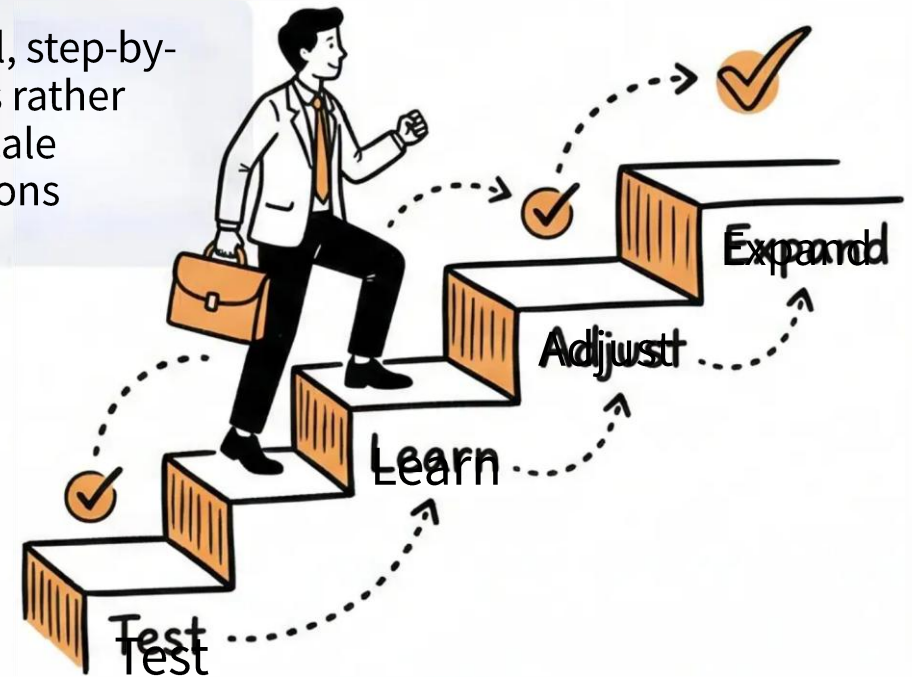


Continuous Feedback - Learn and adjust along the way



Manage Resistance - Easier stakeholder acceptance

Making small, step-by-step changes rather than large-scale transformations



A company gradually rolling out new customer service protocols in one region before expanding nationwide

The Five-Stage Decision-Making Process

A Structured Framework for Effective Management Decisions



Step 1: Problem Identification

Recognizing the Gap Between Current and Desired States

KEY

A problem exists when performance falls short of expectations or when opportunities for improvement are evident

Tools for Early Problem Detection



Performance Dashboards

Monitor key metrics and KPIs



Customer Feedback

Listen to user experiences and complaints



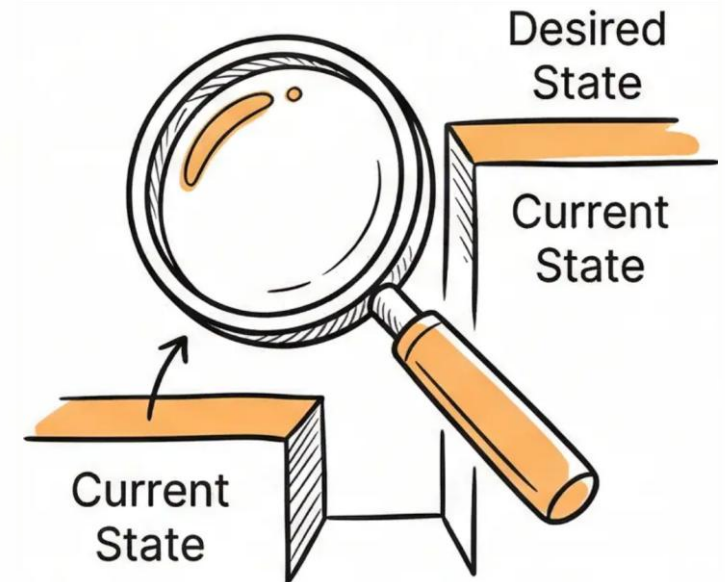
Employee Surveys

Gather internal perspectives on operations



Benchmarking

Compare against industry standards and competitors



Example: A decline in customer satisfaction scores signals need to reevaluate service delivery processes

Step 2: Information Gathering

Building a Foundation of Quality Data

Internal Data Sources

Financial reports and performance metrics

Employee surveys and HR records

Operational logs and process data

Customer feedback and service records

KEY PRINCIPLES

- Quality of information directly influences decision quality
- Verification and triangulation of sources are essential

External Data Sources



Market research and industry trends



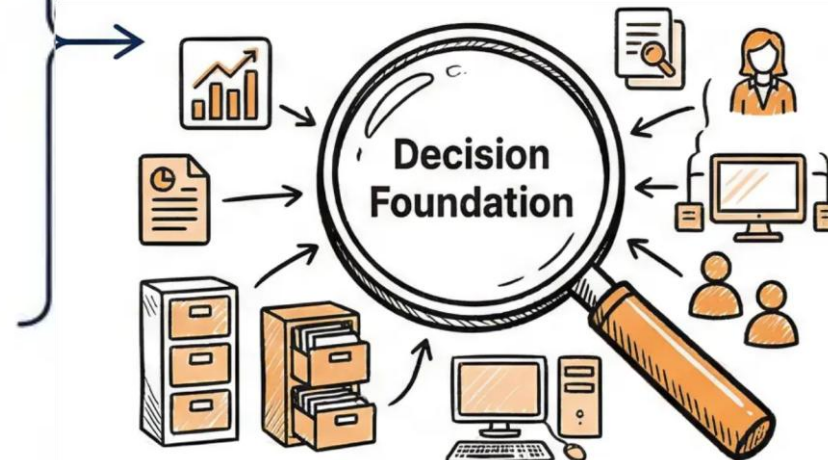
Competitor analysis and benchmarking



Government statistics and regulations



Expert consultations and stakeholder input



Step 3: Alternative Evaluation

Structured Techniques for Assessing Solutions

SWOT Analysis

Evaluate Strengths, Weaknesses, Opportunities, and Threats
Provides comprehensive view of internal and external factors
Ideal for strategic decision assessment

Cost-Benefit Analysis

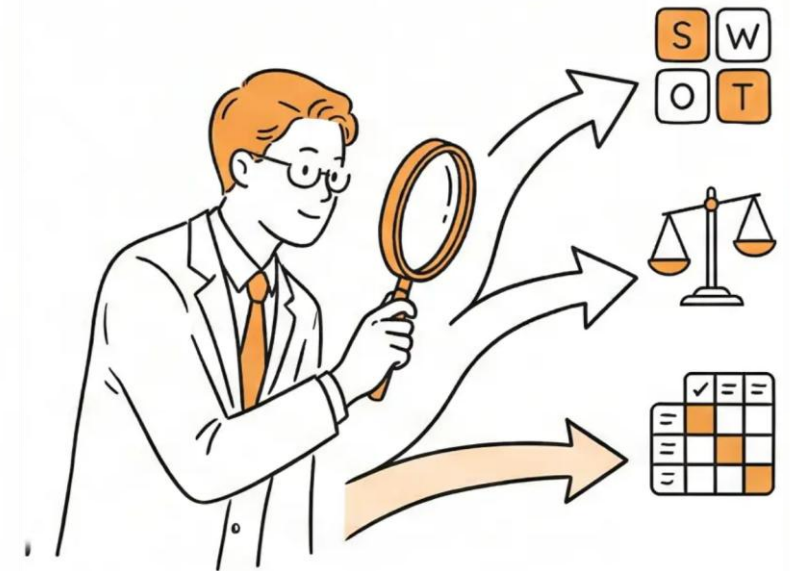
Compare expected costs against anticipated benefits
Quantitative approach using financial metrics
Helps prioritize options with best return on investment

Decision Matrix

Assign weights to key criteria (cost, time, risk, impact)
Score each alternative against weighted criteria
Systematic ranking reveals optimal choice

Key Considerations

Assess feasibility and resource requirements
Evaluate potential risks and mitigation strategies
Consider ethical implications and stakeholder impact



Step 4: Decision Implementatic

From Choice to Action

****Planning & Resource Allocation****

- Develop detailed implementation timeline
- Allocate necessary budget and personnel
- Identify required technology and tools

****Clear Communication Strategy****

- Communicate decision rationale to all stakeholders
- Provide training and support materials
- Establish clear roles and responsibilities

****Overcoming Resistance****

- Anticipate potential pushback from teams
- Address concerns through dialogue
- Involve key influencers in the process

****Ensuring Accountability****

- Set measurable milestones and deadlines
- Assign ownership for each implementation phase
- Create monitoring and reporting mechanisms



Step 5: Review and Feedback

Learning from Implementation

- Track Key Performance Indicators (KPIs) against original objectives
- Collect feedback from users, teams, and stakeholders
- Assess whether desired results were achieved
- Identify lessons learned for future decisions
- Foster culture of continuous improvement and accountability
- Conduct formal post-mortem or reflection sessions for complex decisions



This cyclical process ensures decisions are not only made but also monitored to sustained organizational effectiveness

Programmed vs. Non-Programmed Decisions

Programmed Decisions

- Routine and repetitive
- Follow established rules
- Quick decision-making
- Operational level focus



Reordering office supplies when inventory falls below threshold



Non-Programmed Decisions

- Unique and complex
- Require creativity and analysis
- Longer decision process
- Strategic level focus



Deciding to enter a new international market

Levels of Decision Making

Strategic • Tactical • Operational



STRATEGIC

Long-term (5+ years)

Top Management

Entire Organization

Market Expansion



TACTICAL

Medium-term (1-5 years)

Middle Management

Department/Division

Budget Allocation



OPERATIONAL

Short-term (Daily/Weekly)

Supervisors/Frontline

Individual/Team Level

Staff Scheduling

Cognitive Biases: Confirmation and Overconfidence

Confirmation Bias

Seeking only information that supports existing beliefs

- Ignoring contradictory evidence
- Selective data interpretation
- Echo chamber effect in teams

Real example:

A project manager dismisses negative customer feedback because it contradicts their product vision



Overconfidence Effect

Overestimating knowledge and prediction accuracy

- Unrealistic project timelines
- Underestimating market risks
- Excessive optimism in forecasting

Real example:

A CEO predicts 30% market share growth without sufficient data analysis

Impact: These biases lead to poor strategic decisions, missed opportunities, and increased business risks

Cognitive Biases: Anchoring and Availability

Mental shortcuts that can distort managerial judgment

Anchoring Bias

Over-relying on the first piece of information encountered

Business Example: A manager fixates on a supplier's initial quote of \$50,000, struggling to negotiate below \$45,000 even when market data shows \$35,000 is reasonable

Limits negotiation effectiveness and objective evaluation



Availability Heuristic

Judging probability based on how easily examples come to mind

Business Example: After hearing about a startup failure, a manager avoids all new market opportunities despite strong data supporting expansion

Overweights recent or vivid events in decision making



Combat these biases by seeking multiple reference points, using statistical data over anecdotes, and implementing structured decision frameworks

Advantages of Group Decision Making

Harnessing Collective Intelligence



Diverse Perspectives

Teams bring varied backgrounds, expertise, and experiences, leading to more comprehensive problem analysis and broader range of solutions.

Enhanced Creativity

Interaction among group members sparks innovative ideas through brainstorming and collaborative idea building.



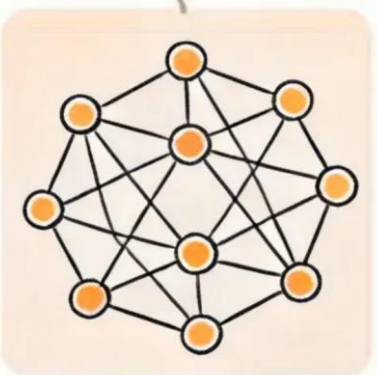
Greater Commitment

When individuals participate in decision-making, they show higher buy-in and support for implementation.



Information Sharing

Groups pool knowledge and data, creating more complete understanding of complex situations.



Challenges in Group Dynamics

Potential Pitfalls That Hinder Effective Group Decisions



Groupthink

Desire for harmony overrides realistic evaluation of alternatives
Dissenting opinions are suppressed



Social Loafing

Members exert less effort, assuming others will compensate
Reduces overall group productivity



Dominance by Vocal Members

Some individuals control discussions due to personality or status
Quieter members become marginalized

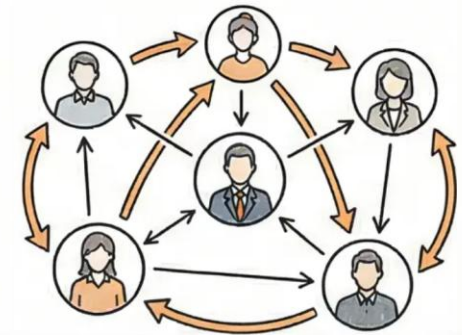


Conflict & Polarization

Disagreements escalate into personal conflicts
Groups may become more extreme than individuals

GROUP DECISION-MAKING TECHNIQUES

Structured Methods to Enhance Participation & Refine Ideas



Brainstorming

- Free-flowing idea generation
- No criticism during session
- Quantity over quality initially
- Equal participation encouraged

Best For

Creative problem solving
and innovation



Nominal Group Technique

- Individual idea writing first
- Round-robin sharing
- Anonymous voting process
- Structured discussion

Best For

Reducing dominant
personalities' influence



Delphi Method

- Expert panel consultation
- Multiple anonymous rounds
- Iterative feedback process
- Consensus building

Best For

Long-term forecasting and
strategic planning

Ethical Frameworks in Decision Making

Three Key Approaches to Moral Decision Making



Utilitarianism

Greatest Good for Greatest Number

Focuses on outcomes and consequences. Decisions should maximize overall happiness and benefit for the majority of stakeholders.

Example: Layoffs to save company and preserve 90% of jobs



Deontology

Duty and Universal Rules

Emphasizes moral duties and principles. Some actions are inherently right or wrong, regardless of consequences.

Example: Refusing false advertising even if it increases profits



Virtue Ethics

Character and Moral Virtues

Asks 'What would a virtuous person do?' Focuses on the character traits and moral excellence of the decision maker.

Example: Choosing transparency in conflict of interest situations

Stakeholder Analysis

Identifying & Prioritizing Stakeholder Interests



1. Identify all affected parties
2. Assess their influence and interest levels
3. Prioritize based on impact and engagement needs
4. Develop targeted communication strategies

Technology & Decision Support Systems

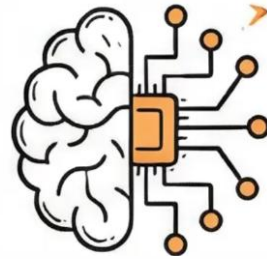
Enhancing Decision Accuracy Through Digital Innovation



Decision Support Systems

Interactive tools that transform raw data into actionable insights for complex problem-solving

Key Features: What-if scenarios, data integration, analytical modeling



Big Data & Artificial Intelligence

Machine learning algorithms analyze vast datasets to uncover patterns and predict outcomes

Key Features: Predictive maintenance, customer analytics, real-time insights



Data Visualization

Transforms complex information into intuitive charts and dashboards for quick understanding

Key Features: Interactive dashboards, trend analysis, KPI monitoring

Technology Integration

Case Study & Conclusion

XYZ Corp: Strategic Expansion Success

- Malaysian tech firm expanded to Vietnam & Indonesia
- Used systematic 5-step decision process
- Selected partnership strategy over direct entry
- Achieved 35% revenue increase within 12 months
- Demonstrates real-world application of theory

Essential Elements of Effective Decision Making



Structure
Systematic process
and frameworks



Ethics
Stakeholder
consideration and
responsibility



Self-Awareness
Recognizing
cognitive biases



Technology
Data-driven insights
and AI support

“Decision making is not a one-time skill but a continuous practice that transforms challenges into opportunities through thoughtful, well-informed choices.”

